

11

International Strategic Management



T.M.O. Travel/Alamy Stock Photo

LEARNING OBJECTIVES

- 11.1. Characterize the challenges of international strategic management.
- 11.2. Assess the basic strategic alternatives available to firms.
- 11.3. Distinguish and analyze the components of international strategy.
- 11.4. Describe the international strategic management process.
- 11.5. Identify and characterize the levels of international strategies.

MyLab Management

★ Improve Your Grade!

More than 10 million students improved their results using the Pearson MyLabs. Visit www.pearson.com/mylab/management for simulations, tutorials, and end-of-chapter problems.

Disney is nothing if not persistent. In addition to tinkering with Disneyland Hong Kong, the company established a branch office in Shanghai to coordinate its efforts in the 1.4-billion customer Chinese market. The Disney Channel and Disney cartoons are now broadcast throughout China, and “Disney Corners” featuring Disney-branded merchandise are available in more than 1,800 department stores in China. Disney operates 15 learning centers in Beijing, Shanghai, and other major cities, using a curriculum featuring Disney characters such as the Little Mermaid and Mickey Mouse to teach English to 7,000 Chinese youngsters ranging in age from 2 to 12. Of course, this approach to language education familiarizes the new generation of Chinese with Disney characters as well as improving their English skills. Disney’s methodical approach to the Chinese market has paid off: After a decade of negotiations, Disney broke ground on a new \$4.4 billion theme park in Shanghai in 2011. Disney owns 43 percent of the new venture, with three city-owned businesses controlling the remainder. Tickets were sold out for weeks after the park opened its doors in June 2016.

The company also is targeting India as a lucrative market for its products. In 2004, it launched Disney Channel and Toon Disney programming customized for Indian families. Disney developed an Indian takeoff on *High School Musical*, although cricket replaced basketball in the movie’s storyline. In 2012, it acquired UTV, India’s largest TV and film studio, which also

controls six leading Indian broadcast channels. Chinese and Russian versions of *High School Musical* are also underway, as are live and animated films targeted to the Japanese, Indian, Chinese, Arab, and Russian markets. In 2017, Disney made another bold move, striking a deal with 21st Century Fox to acquire many of Fox’s international assets. Among these is Star India, whose 60 channels are viewed by an estimated 700 million people and generate nearly \$1 billion in annual operating profits. Among its assets are the rights to broadcast the games of the Indian Premier League for five years.

Nor is the company ignoring its opportunities elsewhere. Disney’s Consumer Product Division has established dedicated sales teams to cater to the worldwide procurement needs of major international retailers such as Carrefour, ASDA (the British subsidiary of Walmart), and Metro. In 2012, the Disney Channel debuted in Russia and Turkey. It now is broadcast in 34 languages in 162 countries serving 313 million subscribers. ESPN International has equity interests in 27 international TV networks and has developed customized programming, such as ESPN Classic Sport Europe, ESPN Latin America, and ESPN Asia, to serve sports fans in those regions. And the Fox deal conveys Fox’s International Channels to Disney, which reach viewers in Africa, Asia, Europe, and Latin America. Still, the company’s international operations, which generate only 24 percent of the company’s revenues, have much room for improvement and growth.¹

To survive in today’s global marketplace, firms must be able to quickly exploit opportunities presented to them anywhere in the world and respond to changes in domestic and foreign markets as they arise. This requires a cogent definition of the firm’s corporate mission, a vision for achieving that mission, and an unambiguous understanding of how the company intends to compete with other firms. To obtain this understanding, firms must carefully compare their strengths and weaknesses to those of their worldwide competitors; assess likely political, economic, and social changes among their current and prospective customers; and analyze the impact of new technologies on their ways of doing business.

Disney’s decisions to build Tokyo Disneyland, Disneyland Paris, Disney Studios Paris, Hong Kong Disneyland, and Shanghai Disneyland are consistent with its strategy to be a global entertainment firm. So, too, are its efforts to increase worldwide licensing of its characters and expand its audience for the Disney Channel to other countries. But the firm stumbled badly in its initial efforts with Disneyland Paris and knows its competitors will continue to fight for market share. European vacationers can enjoy other amusement parks, such as Denmark’s Legoland or France’s Parc Asterix. Mickey Mouse lunchboxes compete for the attention of the world’s schoolchildren with those featuring England’s Paddington Bear, France’s Babar the Elephant, Japan’s Hello Kitty, and Belgium’s Smurfs. And Time Warner’s Cartoon Network has been outperforming the mouse for years. Thus, Disney’s top managers know that they are in a continuous battle for the entertainment dollars (and euros, yen, and pounds) of the world’s consumers and that it is up to them to deploy the firm’s resources to achieve desired levels of profitability, growth, and market share.

The Challenges of International Strategic Management

11.1. Characterize the challenges of international strategic management.

Disney’s managers, like those of other international businesses, use strategic management to address these challenges. More specifically, **international strategic management** is a comprehensive and ongoing management planning process aimed at formulating and implementing strategies that enable a firm to compete effectively internationally. The process of developing a particular

international strategy is often referred to as **strategic planning**. Strategic planning is usually the responsibility of top-level executives at corporate headquarters and senior managers in domestic and foreign operating subsidiaries. Most large firms also have a permanent planning staff to provide technical assistance for top managers as they develop strategies. Disney's planning staff, for example, gathered demographic and economic data that the firm's decision makers used to select the sites for its domestic and international theme parks.

International strategic management results in the development of various **international strategies**, which are comprehensive frameworks for achieving a firm's fundamental goals. Conceptually, there are many similarities between developing a strategy for competing in a single country and developing one for competing in multiple countries. In both cases, the firm's strategic planners must answer the same fundamental questions:

- What products or services does the firm intend to sell?
- Where and how will it make those products or services?
- Where and how will it sell them?
- Where and how will it acquire the necessary resources?
- How does it expect to outperform its competitors?²

But developing an international strategy is far more complex than developing a domestic one.³ Managers developing a strategy for a domestic firm must deal with one national government, one currency, one accounting system, one political and legal system, and, usually, a single language and a comparatively homogeneous culture. But managers responsible for developing a strategy for an international firm must understand and deal with multiple governments, multiple currencies, multiple accounting systems, multiple political systems, multiple legal systems, and a variety of languages and cultures.

Moreover, managers in an international business must also coordinate the implementation of their firm's strategy among business units located in different parts of the world with different time zones, different cultural contexts, and different economic conditions, as well as monitoring and controlling their performance. But managers usually consider these complexities acceptable trade-offs for the additional opportunities that come with global expansion. Indeed, international businesses have the ability to exploit three sources of competitive advantage unavailable to domestic firms.

- **Global efficiencies.** International firms can improve their efficiency through several means not available to domestic firms. They can capture *location efficiencies* by locating their facilities anywhere in the world that yields them the lowest production or distribution costs or that best improves the quality of service they offer their customers. Production of athletic shoes, for example, is labor intensive, and Nike, like many of its competitors, centers its manufacturing in countries where labor costs are especially low.⁴ Similarly, by building factories to serve more than one country, international firms may also lower their production costs by capturing *economies of scale*. For example, rather than splitting production of its first SUV among several factories, Mercedes-Benz decided to initially produce this vehicle only at its Alabama assembly plant to benefit from economies of scale in production.⁵ Finally, by broadening their product lines in each of the countries they enter, international firms may enjoy *economies of scope*, lowering their production and marketing costs and enhancing their bottom lines. Apple's transition from a seller of only personal computers to a company with an extensive line of electronic communications equipment—desktops, laptops, iPhones, iPads, etc.—allows it to economize on research and development expenses, branding costs, and distribution expenses. As a result, its research and development (R&D), distribution, and branding costs per product are much lower than when it was simply a seller of computers.
- **Multinational flexibility.** As we discussed in Chapters 3 and 4, there are wide variations in the political, economic, legal, and cultural environments of countries. Moreover, these environments are constantly changing: New laws are passed, new governments are elected, economic policies are changed, and new competitors may enter (or leave) the national market. International businesses thus face the challenge of responding to these multiple diverse and changing environments. But unlike domestic firms, which operate in and respond to changes in the context of a single domestic environment, international

businesses may also respond to a change in one country by implementing a change in another country. Chicken processor Tyson Foods, for example, has benefited from the increased demand by health-conscious U.S. consumers for chicken breasts. In producing more chicken breasts, Tyson also produced more chicken legs and thighs, which are considered less desirable by U.S. consumers. Tyson capitalized on its surplus by targeting the Russian market, where dark meat is preferred over light, and the Chinese market, where chicken feet are considered a tasty delicacy.⁶ In a variety of ways similar to this, international businesses are better able than purely domestic firms to exploit and respond to changes and differences in their operating environments.

- **Worldwide learning.** The diverse operating environments of multinational corporations (MNCs) may also contribute to organizational learning.⁷ Differences in these operating environments may cause the firm to operate differently in one country than another. An astute firm may learn from these differences and transfer this learning to its operations in other countries.⁸ For example, McDonald's U.S. managers believed that its restaurants should be freestanding entities located in suburbs and small towns. A Japanese franchisee convinced McDonald's to allow it to open a restaurant in an inner-city office building. That restaurant's success caused McDonald's executives to rethink their store location criteria. Nontraditional locations—office buildings, Walmart superstores, food courts, and airports—are now an important source of new growth for the firm. "Emerging Opportunities" provides another example of the benefits of worldwide learning.

Unfortunately, it is difficult to exploit these three factors simultaneously. Global efficiencies can be more easily obtained when a single unit of a firm is given worldwide responsibility for the task at hand. BMW's engineering staff at headquarters in Munich, for example, is responsible for the research and development of the company's new automobiles. By focusing its R&D efforts at one location, BMW engineers designing new transmissions are better able to coordinate their activities with their counterparts designing new engines. However, centralizing control of its R&D operations also hinders the firm's ability to customize its product to meet the differing needs of customers in different countries. Consider the simple question of whether to include cup holders in its cars. In designing cars to be driven safely at the prevailing high speeds of Germany's autobahn, the company's engineers initially decided that cup holders were both irrelevant and dangerous. Driving speeds in the United States, however, are much lower, and cup holders are an important comfort feature in autos sold to U.S. consumers. Lengthy battles were fought between BMW's German engineers and its U.S. marketing managers over this seemingly trivial issue. Only after a decade of argument did cup holders finally become a standard feature in the firm's automobiles sold in North America. And even then, in some BMW models the cup holders were placed in front of the air conditioner vents, making it harder to keep beverages at their desired temperature.

As this example illustrates, if too much power is centralized in one unit of the firm, it may ignore the needs of consumers in other markets. Conversely, multinational flexibility is enhanced when firms delegate responsibility to the managers of local subsidiaries. Vesting power in local managers allows each subsidiary to tailor its products, personnel policies, marketing techniques, and other business practices to meet the specific needs and wants of potential customers in each market the firm serves. However, this increased flexibility will reduce the firm's ability to obtain global efficiencies in such areas as production, marketing, and R&D.

Furthermore, the unbridled pursuit of global efficiencies or multinational flexibility may stifle the firm's attempts to promote worldwide learning. Centralizing power in a single unit of the firm to capture global efficiencies may cause it to ignore lessons and information acquired by other units of the firm. Moreover, these other units may have little incentive or ability to acquire such information if they know that the "experts" at headquarters will ignore them. Decentralizing power in the hands of local subsidiary managers may create similar problems. A decentralized structure may make it difficult to transfer learning from one subsidiary to another. Local subsidiaries may be disposed to reject any outside information out of hand as not being germane to the local situation. Firms wishing to promote worldwide learning must utilize an organizational structure that promotes knowledge transfer among its subsidiaries and corporate headquarters. They must also

SK-II was developed by P&G's Japanese subsidiary after a local scientist noticed the soft and youthful skin of women working in a sake brewery. Its expansion into other markets, including Asia, the United States, and the United Kingdom, was accelerated by an organizational restructuring designed to facilitate the transfer of new products and new technologies from one region to another.



In Practice

- International businesses can benefit from global efficiencies, multinational flexibility, and worldwide learning. These opportunities are not available to purely domestic firms.
- It is difficult to create an organizational structure that allows a firm to capture all three of these advantages, however.

For further consideration: Which of these three advantages is most important? Is the answer the same for every firm?

Strategic Alternatives

11.2. Assess the basic strategic alternatives available to firms.

MNCs typically adopt one of four strategic alternatives in their attempt to balance the three goals of global efficiencies, multinational flexibility, and worldwide learning.

The first of these strategic alternatives is the *home replication strategy*. In this approach, a firm uses the core competency or firm-specific advantage it developed at home as its main competitive weapon in the foreign markets that it enters. That is, it takes what it does exceptionally well in its home market and attempts to duplicate it in foreign markets. Mercedes-Benz's home replication strategy, for example, relies on its well-known brand name and its reputation for building well-engineered, luxurious cars capable of traveling safely at high speeds. It is this market segment that Mercedes-Benz has chosen to exploit internationally, despite the fact that only a few countries have both the high income levels and the high speed limits appropriate for its products. Yet consumers in Asia, the rest of Europe, and the Americas, attracted by the car's mystique, eagerly buy it, knowing that they too could drive their new car 100 miles per hour, if only the local police would let them.

The *multidomestic strategy* is a second alternative available to international firms.¹⁰ A multidomestic corporation views itself as a collection of relatively independent operating subsidiaries, each of which focuses on a specific domestic market. In addition, each of these subsidiaries is free to customize its products, its marketing campaigns, and its operational techniques to best meet the needs of its local customers. The multidomestic approach is particularly effective when there are clear differences among national markets; when economies of scale for production, distribution, and marketing are low; and when the cost of coordination between

the parent corporation and its various foreign subsidiaries is high. Because each subsidiary in a multidomestic corporation must be responsive to the local market, the parent company usually delegates considerable power and authority to managers of its subsidiaries in various host countries. MNCs operating in the years prior to World War II often adopted this approach because of difficulties of controlling distant foreign subsidiaries given the communication and transportation technologies of those times.

The *global strategy* is the third alternative philosophy available for international firms. A global corporation views the world as a single marketplace and has as its primary goal the creation of standardized goods and services that will address the needs of customers worldwide. The global strategy is almost the exact opposite of the multidomestic strategy. Whereas the multidomestic firm believes that its customers in every country are fundamentally different and must be approached from that perspective, a global corporation assumes that customers are fundamentally the same regardless of their nationalities. Thus, the global corporation views the world market as a single entity as it develops, produces, and sells its products. It tries to capture economies of scale in production and marketing by concentrating its production activities in a handful of highly efficient factories and then creating global advertising and marketing campaigns to sell those goods. Because the global corporation must coordinate its worldwide production and marketing strategies, it usually concentrates power and decision-making responsibility at a central headquarters location.

The home replication strategy and the global strategy share an important similarity: Under either approach, a firm conducts business the same way anywhere in the world. There is also an important difference between the two approaches, however. A firm using the home replication strategy takes its domestic way of doing business and uses that approach in foreign markets as well. In essence, a firm using this strategy believes that if its business practices work in its domestic market, then they should also work in foreign markets. Conversely, the starting point for a firm adopting a global strategy has no such home-country bias. In fact, the concept of a home market is irrelevant because the global firm thinks of its market as a global one, not one divided into domestic and foreign segments. The global firm tries to figure out the best way to serve all of its customers in the global market, and then does so.

A fourth approach available to international firms is the *transnational strategy*. The transnational corporation attempts to combine the benefits of global scale efficiencies, such as those pursued by a global corporation, with the benefits and advantages of local responsiveness, which is the goal of a multidomestic corporation. To do so, the transnational corporation does not automatically centralize or decentralize authority. Rather, it carefully assigns responsibility for various organizational tasks to that unit of the organization best able to achieve the dual goals of efficiency and flexibility.

A transnational corporation may choose to centralize certain management functions and decision making, such as R&D and financial operations, at corporate headquarters. Other management functions, such as human resource management and marketing, however, may be decentralized, allowing managers of local subsidiaries to customize their business activities to better respond to the local culture and business environment. Often transnational corporations locate responsibility for one product line in one country and responsibility for a second product line in another. To achieve an interdependent network of operations, transnational corporations focus considerable attention on integration and coordination among their various subsidiaries. "Venturing Abroad" discusses how IKEA has tried to capture the benefits of global scale efficiencies while remaining responsive to local conditions.

Figure 11.1 assesses these four strategic approaches against two criteria, the need for local responsiveness and the need to achieve global integration. Firms must pay particular attention to local conditions when consumer tastes or preferences vary widely across countries, when large differences exist in local laws, economic conditions, and infrastructure, or when host-country governments play a major role in the particular industry. Pressures for global integration arise when the firm is selling a standardized commodity with little ability to differentiate its products through features or quality, such as agricultural goods, bulk chemicals, ores, and low-end semiconductor chips. If trade barriers and transportation costs are low, such firms must strive to produce their goods at the lowest possible cost. Conversely, if the product features desired by consumers vary by country or if firms are able to differentiate their products through brand names, after-sales support services, and quality differences, the pressures for global integration are lessened.

FIGURE 11.1**Strategic Alternatives for Balancing Pressures for Global Integration and Local Responsiveness**

PRESSURES FOR GLOBAL EFFICIENCIES

High

Low

GLOBAL STRATEGY The firm views the world as a single marketplace and its primary goal is to create standardized goods and services that will address the needs of customers worldwide.	TRANSNATIONAL STRATEGY The firm attempts to combine the benefits of global scale efficiencies with the benefits of local responsiveness.
HOME REPLICATION The firm uses the core competency or firm-specific advantage it developed at home as its main competitive weapon in the foreign markets it enters.	MULTIDOMESTIC STRATEGY The firm views itself as a collection of relatively independent operating subsidiaries, each of which focuses on a specific domestic market.

Low

High

PRESSURES FOR LOCAL RESPONSIVENESS AND FLEXIBILITY

Source: Based on Sumantra Ghoshal and Nitin Nohria, "Horses for courses: Organizational forms for multinational corporations," *Sloan Management Review* (Winter 1993), pp. 27 and 31.

The multidomestic approach is often used when the need to respond to local conditions is high, but the pressures for global integration are low. Many companies selling brand-name food products have adopted this approach. Although not unmindful of the benefits of reducing manufacturing costs, such marketing-driven companies as Kraft, Unilever, and Nestlé are more concerned with meeting the specific needs of local customers, thereby ensuring that these customers will continue to pay a premium price for the brand-name goods these companies sell. Moreover, they often rely on local production facilities to ensure that local consumers will readily find fresh, high-quality products on their supermarket shelves.

The global strategy is most appropriate when the pressures for global integration are high but the need for local responsiveness is low. In such cases, the firm can focus on creating standardized goods, marketing campaigns, distribution systems, and so forth. This strategy has been adopted by many Japanese consumer electronics firms such as Sony and Matsushita, which design their products with global markets in mind. Aside from minor adaptations for differences in local electrical systems and recording formats, these firms' digital cameras, TVs, smartphones, and Blu-ray players are sold to consumers throughout the world with little need for customization. Thus, these firms are free to seek global efficiencies by capturing economies of scale in manufacturing and concentrating their production in countries offering low-cost manufacturing facilities.

The transnational strategy is most appropriate when pressures for global integration and local responsiveness are both high. The Ford Motor Company has been attempting to employ this strategy. For example, Ford now has a single manager responsible for global engine and transmission development. Other managers have similar responsibilities for product design and development, production, and marketing. But each manager is also responsible for ensuring that Ford products are tailored to meet local consumer tastes and preferences. For instance, Ford products sold in the United Kingdom must have their steering wheels mounted on the right side of the passenger compartment. Body styles may also need to be slightly altered in different markets to be more appealing to local customer tastes.

Not addressed to this point has been the issue of worldwide learning. Worldwide learning requires the transfer of information and experiences from the parent to each subsidiary, from each subsidiary to the parent, and among subsidiaries. The home replication, multidomestic, and global strategies are not explicitly designed, however, to accomplish such learning transfer. The home replication strategy is predicated on the parent company's transferring the firm's core competencies to its foreign subsidiaries. The multidomestic strategy decentralizes power to the local subsidiaries so that they can respond easily to local conditions. The global strategy centralizes decision making so that the firm can achieve global integration of its activities.

The transnational strategy would appear to be better able to promote global learning with its mix of centralization of certain functions and decentralization of others—a primary reason for

adopting the transnational strategy in the first place. Transnational corporations use such techniques as matrix organizational designs, project teams, informal management networks, and corporate cultures to help promote transfer of knowledge among their subsidiaries. Such approaches to promoting worldwide learning are also available to firms adopting the home replication, multidomestic, and global approaches as well. However, such firms need to exert a systematic effort to successfully make use of these techniques.

In Practice

- Firms can choose from four basic approaches to competing internationally: home replication, multidomestic, global, and transnational.
- In each of these approaches, firms must weigh how important capturing global efficiencies and responding to local differences is in their ability to compete successfully in the international market under consideration.

For further consideration: Pick three or four international companies with which you are familiar. Which cell of Figure 11.1 would you put them in? Why do you think that they have adopted this approach?

11.3. Distinguish and analyze the components of international strategy.

Components of an International Strategy

After determining the overall international strategic philosophy of their firm, managers who engage in international strategic planning then need to address the four basic components of strategy development. These components are distinctive competence, scope of operations, resource deployment, and synergy.¹¹

Distinctive Competence

Distinctive competence, the first component of international strategy, answers the question: “What do we do exceptionally well, especially as compared to our competitors?” A firm’s distinctive competence may be cutting-edge technology, efficient distribution networks, superior organizational practices, or well-respected brand names. As our discussion of Dunning’s eclectic theory in Chapter 6 suggested, a firm’s possession of a distinctive competence (what Dunning called an ownership advantage) is thought by many experts to be a necessary condition for a firm to compete successfully outside its home market. Without a distinctive competence, a foreign firm will have difficulty competing with local firms that are presumed to know the local market better. The Disney name, image, and portfolio of characters, for example, is a distinctive competence that allows the firm to succeed in foreign markets. Similarly, the ready availability of software programs compatible with Windows operating systems gives Microsoft an advantage in competing with local firms outside the United States.

Whatever its form, this distinctive competence represents an important resource to the firm.¹² A firm often wishes to exploit this advantage by expanding its operations into as many markets as its resources allow. To a large degree, the internationalization strategy adopted by a company reflects the interplay between its distinctive competence and the business opportunities available in different countries.¹³

For instance, Frankfurt’s Glasbau Hahn constructs glass showcases with self-contained climate controls and fiber-optic lighting. Because the showcases are perceived to be the world’s best, museums pay Glasbau Hahn as much as \$100,000 for a case in which to display priceless art, sculpture, or artifacts. Exploiting its distinctive competence in this specialized market, Glasbau Hahn has built a multimillion-dollar international business. Similarly, Wiesbaden’s F. Ad. Müller Söhne has for 16 generations specialized in the production of glass eyeballs. The firm’s long-term success rests on highly-skilled craftsmen and a proprietary technology invented in the 1860s.¹⁴

Scope of Operations

The second component, the **scope of operations**, answers the question: “Where are we going to conduct business?” Scope may be defined in terms of geographical regions, such as countries, regions within a country, or clusters of countries. Or it may focus on market or product niches

within one or more regions, such as the premium-quality market niche, the low-cost market niche, or other specialized market niches. Because all firms have finite resources and because markets differ in their relative attractiveness for various products, managers must decide which markets are most attractive to their firm. Scope is, of course, tied to the firm's distinctive competence: If the firm possesses a distinctive competence only in certain regions or in specific product lines, then its scope of operations will focus on those areas where the firm enjoys the distinctive competence.

For instance, the geographical scope of Disney's current theme park operations consists of the United States, Japan, France, Hong Kong, and Shanghai, whereas the geographical scope of its movie distribution and merchandise sales operations reaches almost 200 countries. Other companies have chosen to participate in many lines of business but narrow their geographic focus, such as Grupo Luksic, a family-owned conglomerate with interests in beer, copper, banking, hotels, railroads, telecommunications, and ranching in Chile and neighboring countries. Conversely, Ballantyne Strong, a small (\$76 million in annual revenues) Nebraska-based company, is sharply focused, just like its primary product: feature-film projectors, a market it has mastered in the United States and abroad.¹⁵ Similarly, in the semiconductor industry, many firms have chosen to limit their operations to specific product niches. Asian semiconductor manufacturers such as Samsung and SK Hynix dominate the global memory chip market. California-based Intel focuses on producing the microprocessors that power most personal computers. Broadcom and Qualcomm are market leaders in chips that manage Bluetooth, cellular, and Wi-Fi connections in mobile phones.¹⁶ Texas Instruments specializes in digital signal processors, which convert analog signals into digital signals. Such chips have many uses, from computer modems to stereo systems to cellular phones. Infineon Technologies AG concentrates on chips that have automotive, industrial, and communications applications. Thus, strategic planning results in some international businesses choosing to compete in only a few markets, some to compete in many, and others (such as Disney) to vary their operations across the different types of business operations in which they are involved.

Resource Deployment

Resource deployment answers the question: "Given that we are going to compete in these markets, how should we allocate our resources to them?" For example, even though Disney has theme park operations in four countries, the firm does not have an equal resource commitment to each market. Disney invested nothing in Tokyo Disneyland and limited its original investment in Disneyland Paris to 49 percent of its equity and in Hong Kong to 47 percent. But it continues to invest heavily in its U.S. theme park operations and in filmed entertainment.

Resource deployment might be specified along product lines, geographical lines, or both.¹⁷ This part of strategic planning determines relative priorities for a firm's limited resources. Some large MNCs choose to deploy their resources worldwide. For example, Osaka-based Sharp Corporation (now a subsidiary of Foxconn) manufactures its electronic goods in factories spread around the world. Other firms have opted to focus their production more narrowly. Boeing, the leading U.S. exporter, concentrates final assembly of most of its commercial aircraft in the Seattle, Washington, region. Although it buys materials and sells aircraft globally, it has limited much of its production resource deployment to its home country.

Synergy

The fourth component of international strategy, **synergy**, answers the question: "How can different elements of our business benefit each other?" The goal of synergy is to create a situation in which the whole is greater than the sum of the parts. Disney has excelled at generating synergy in the United States. People know the Disney characters from television, so they plan vacations to Disney theme parks. At the parks they are bombarded with information about the newest Disney movies, and they buy merchandise featuring Disney characters, which encourage them to watch Disney characters on TV, starting the cycle all over again. However, as noted previously, the firm has been more effective in capturing these synergies domestically than internationally.

In Practice

- The four components of international strategy are distinctive competence, scope of operations, research deployment, and synergy.
- As we will discuss in Chapter 12, possession of a distinctive competence is a necessary condition for firms to compete internationally.

For further consideration: Choose three or four international firms with which you are familiar. What distinctive competence has allowed them to compete successfully in international markets?

11.4. Describe the international strategic management process.

Developing International Strategies

Developing international strategies is not a one-dimensional process. Firms generally carry out international strategic management in two broad stages, strategy formulation and strategy implementation. Simply put, strategy formulation is deciding what to do and strategy implementation is actually doing it.

In *strategy formulation*, the firm establishes its goals and the strategic plan that will lead to the achievement of those goals. In international strategy formulation, managers develop, refine, and agree on which markets to enter (or exit) and how best to compete in each. Much of what we discuss in the rest of this chapter and in the next two chapters primarily concerns international strategy formulation.

In *strategy implementation*, the firm develops the tactics for achieving the formulated international strategies. Disney's decision to build Hong Kong Disneyland was part of strategy formulation. But deciding which attractions to include, when to open, what to charge for admission, and how to leverage its investment in the park to penetrate the TV, movie, and character licensing markets in China is part of strategy implementation. Strategy implementation is usually achieved via the organization's design, the work of its employees, and its control systems and processes. Chapters 14 and 15 deal primarily with implementation issues.

Although every strategic planning process is in many ways unique, there is nevertheless a set of general steps that managers usually follow as they set about developing their strategies. These steps, shown in Figure 11.2, are discussed next.

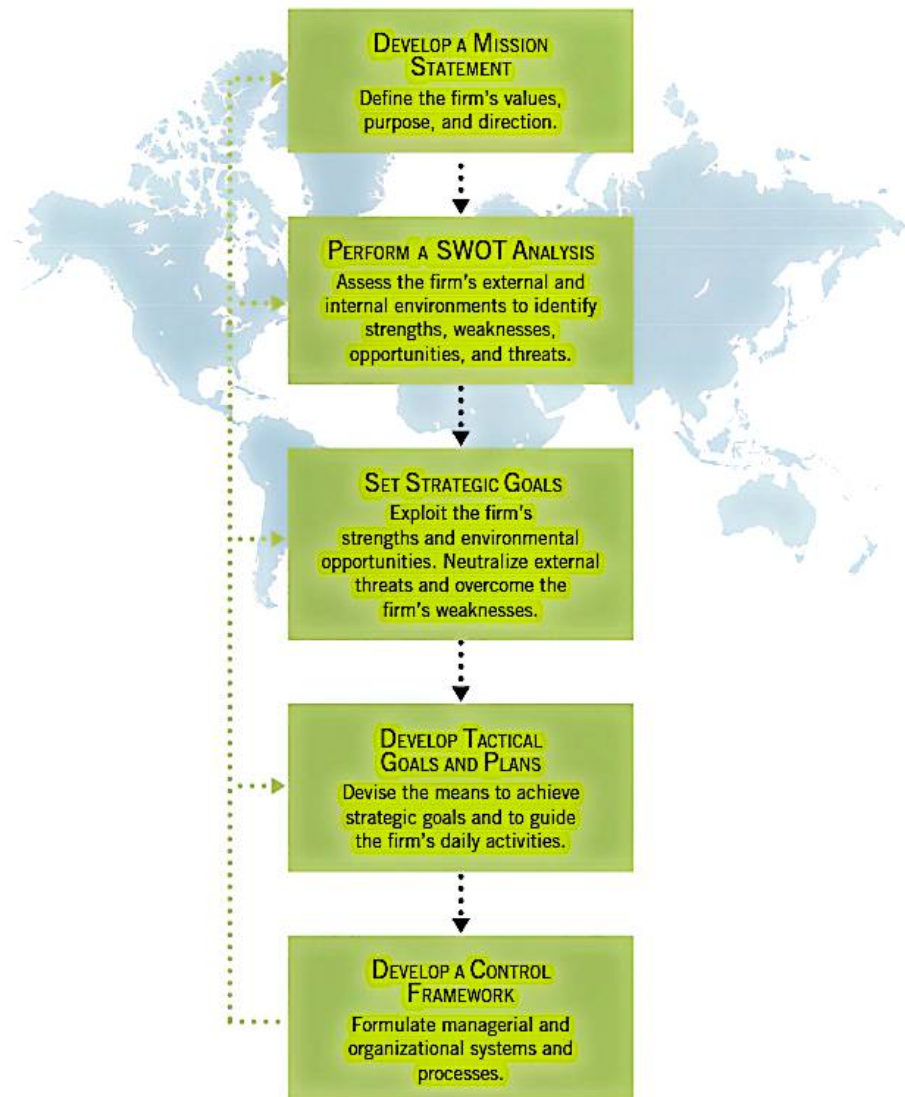
Mission Statement

Most organizations begin the international strategic planning process by creating a **mission statement**, which clarifies the organization's purpose, values, and directions. The mission statement is often used as a way of communicating with internal and external constituents and stakeholders about the firm's strategic direction. It may specify such factors as the firm's target customers and markets, principal products or services, geographical domain, core technologies, concerns for survival, plans for growth and profitability, basic philosophy, and desired public image.¹⁸ For example, IKEA's mission is "to create a better everyday life for the many people," and Disney's is to be "one of the world's leading producers and providers of entertainment and information." MNCs may have multiple mission statements—one for the overall firm and one for each of its various foreign subsidiaries. Of course, a firm that has multiple mission statements must ensure that they are compatible.

Environmental Scanning and the SWOT Analysis

The second step in developing a strategy is conducting a **SWOT analysis**. SWOT is an acronym for strengths, weaknesses, opportunities, and threats. A firm typically initiates its SWOT analysis by performing an **environmental scan**, a systematic collection of data about all elements of the firm's external and internal environments, including markets, regulatory issues, competitors' actions, production costs, and labor productivity.¹⁹

When members of a planning staff scan the external environment, they try to identify both **opportunities** (the O in SWOT) and **threats** (the T in SWOT) confronting the firm. They obtain data about economic, financial, political, legal, social, and competitive changes in the various markets the firm serves or might want to serve. (Such data are also used for political risk analysis, discussed

FIGURE 11.2**Steps in International Strategy Formulation**

in Chapter 3, as well as the country market analysis discussed in Chapter 12.) For example, Boeing continuously monitors changes in political and economic forces that affect air travel. In China, political shifts in the early 1990s to allow more competition in the air travel market led the government to split the giant state-owned carrier CAAC into competing regional carriers and to allow Hong Kong's Cathay Pacific airline to offer air travel within China. Boeing's environmental scanning suggested that booming demand for air travel would make the Chinese market a particularly appealing opportunity. Accordingly, the firm chose to locate a new sales office in Beijing. The move paid off, and China has become one of Boeing's most important markets.

External environmental scanning also yields data about environmental threats to the firm, such as shrinking markets, increasing competition, the potential for new government regulation, political instability in key markets, and the development of new technologies that could make the firm's manufacturing facilities or product lines obsolete. Threats to Disney include increased competition in the U.S. market from Universal Studios, Six Flags, and other theme parks; potential competition in Europe from theme parks there; foreign resentment of U.S. military and diplomatic policies; fluctuating exchange rates; and more stringent requirements for obtaining U.S. visas as a result of the attacks on September 11, 2001, on the Pentagon and World Trade Center. Threats to BMW include changing U.S. automobile fuel-efficiency standards, increased competition from Japanese producers in the luxury car market, the high value of the euro, and high German labor costs. The threats Federal Express faces include not only competition in the international

11.5. Identify and characterize the levels of international strategies.**Levels of International Strategy**

Given the complexities of international strategic management, many international businesses—especially MNCs—find it useful to develop strategies for three distinct levels within the organization. These levels of international strategy, illustrated in Figure 11.4, are corporate, business, and functional.

Corporate Strategy

Corporate strategy attempts to define the domain of businesses in which the firm intends to operate. Consider three Japanese electronics firms: Sony competes in the global market for consumer electronics and entertainment but has not broadened its scope into home and kitchen appliances. Archival Panasonic spans all these industries, while Pioneer Corporation focuses only on electronic audio and video products. Each firm has answered quite differently the question of what constitutes its business domain. Their divergent answers reflect their differing corporate strengths and weaknesses, as well as their differing assessments of the opportunities and threats produced by the global economic and political environments. A firm might adopt any of three forms of corporate strategy. These are called a single-business strategy, a related diversification strategy, and an unrelated diversification strategy.

THE SINGLE-BUSINESS STRATEGY The single-business strategy calls for a firm to rely on a single business, product, or service for all its revenue. The most significant advantage of this strategy is that the firm can concentrate all its resources and expertise on that one product or service. However, this strategy also increases the firm's vulnerability to its competition and to changes in the external environment. For example, for a firm producing only floppy disk drives, a new innovation such as the thumb drive may make the firm's single product obsolete, and the firm may be unable to develop new products quickly enough to survive. Nonetheless, some MNCs, such as Singapore Airlines, McDonald's, and Facebook, have found the single-business strategy a rewarding one.

RELATED DIVERSIFICATION Related diversification, the most common corporate strategy, calls for the firm to operate in several different but fundamentally related businesses, industries, or markets at the same time. This strategy allows the firm to leverage a distinctive competence in one market to strengthen its competitiveness in others. The goal of related diversification and the basic relationship linking various operations are often defined in the firm's mission statement.

Disney uses the related diversification strategy. Each of its operations is linked to the others via Disney characters, the Disney logo, a theme of wholesomeness, and a reputation for providing high-quality family entertainment. Disney movies and TV shows, many of which are broadcast over Disney-owned networks, help sell Disney theme parks, which in turn help sell Disney merchandise. Accor SA also relied on the related diversification strategy to become one of the

FIGURE 11.4
Three Levels of Strategy
for MNCs



world's largest hotel operators. Originally the operator of a chain restaurant, this Paris-based firm began acquiring luxury hotel chains such as Sofitel and budget chains such as Motel 6. To keep its dining rooms and hotel beds full, Accor then branched out into the package tour business and the rental car business. To promote tourism, the firm even opened its own theme park north of Paris, based on the French cartoon character Asterix the Gaul. Once it established itself a leader in the hotel industry, however, it sold off its interests in many of its non-hotel operations.²¹

Related diversification has several advantages. First, the firm depends less on a single product or service, so it is less vulnerable to competitive or economic threats.²² For example, if Disney faces increased competition in the theme park business, its movie, television, and licensing divisions can offset potential declines in theme park revenues. Moreover, these related businesses may make it more difficult for an outsider to compete with Disney in the first place. For example, non-Disney animated movies have trouble competing against new animated releases from the Disney Studios. Makers of these movies must buy advertising at commercial rates, whereas Disney can inexpensively promote its new releases to families waiting in line at its theme parks and to viewers of shows on ABC or the Disney Channel. Similar problems confront rival theme park operators, who have to contend with the constant exposure that Disney's theme parks receive on network television and the Disney Channel and on T-shirts and caps worn by kids of all ages worldwide.

Second, related diversification may produce economies of scale for a firm. For example, Disney created a division it calls Strategic Sourcing. This unit's purpose is to consolidate as much of the firm's global purchasing as possible. For instance, the company buys all its packaging materials from one supplier. Consumers who buy merchandise from Disneyland Paris, the Disney Store in Los Angeles, the *Lion King* show in London, a Disney website, or the direct-mail Disney catalog all receive their purchases in the same size and style box bought from the same manufacturer. The company estimates that it saves more than \$300 million annually from this approach.²³

Third, related diversification may allow a firm to use technology or expertise developed in one market to enter a second market more cheaply and easily. For example, Pirelli used its expertise in producing rubber products and insulated cables, refined over 100 years ago, to become the world's fifth-largest producer of automobile tires. Pirelli also transferred its knowledge of rubber cables to become a major producer of fiber-optic cables, an operation it later sold for €5 billion to Cisco and Corning. Similarly, Casio Computer Company transferred the knowledge it gained in making handheld electric calculators to the production of inexpensive electronic digital watches, musical synthesizers, and pocket televisions. Such potential synergies are a major advantage of the related diversification strategy.

One potential disadvantage of related diversification is the cost of coordinating the operations of the related divisions. A second is the possibility that all the firm's business units may be affected simultaneously by changes in economic conditions. For example, Disney can create synergies by promoting its theme parks on its TV networks. Yet all of Disney's divisions are vulnerable to a downturn in the economy that would shrink consumers' disposable incomes, thereby discouraging families from traveling to Disney World or marketers from advertising on ESPN or the Disney Channel.

UNRELATED DIVERSIFICATION A third corporate strategy international businesses may use is **unrelated diversification**, whereby a firm operates in several unrelated industries and markets. For example, GE owns such diverse business units as a lighting manufacturer, a medical technology firm, an aircraft engine producer, an oil field services company, and an investment bank. These operations are unrelated to each other, and there is little reason to anticipate synergy among such diverse operations and businesses.

During the 1960s, unrelated diversification was a popular investment strategy. Many large firms, such as ITT, Gulf and Western, LTV, and Textron became **conglomerates**, the term used for firms comprising unrelated businesses. The unrelated diversification strategy yields several benefits. First, the corporate parent may be able to raise capital more easily than any of its independent units can separately. The parent can then allocate this capital to the most profitable opportunities available among its subsidiaries. Second, overall riskiness may be reduced because a firm is less subject to business cycle fluctuations. For example, temporary difficulties facing one business might be offset by success in another. Third, a firm is less vulnerable to competitive threats because any given threat is likely to affect only a portion of the firm's total operations. Fourth, a firm can more easily shed unprofitable operations because they are independent. It also can buy new operations without worrying about how to integrate them into existing businesses.

Nonetheless, the creation of conglomerates through the unrelated diversification strategy is out of favor on Wall Street today primarily because of the lack of potential synergy across unrelated

businesses. Because the businesses are unrelated, no one operation can regularly sustain or enhance the others. For example, GE managers cannot use any of the competitive advantages they may have developed in the lighting business to help offset poor aircraft engine sales. Further, it is difficult for staff at corporate headquarters to effectively manage diverse businesses, because staff members must understand a much wider array of businesses and markets than if operations are related. This complicates the performance monitoring of individual operations. As a result, although some conglomerates have thrived, many others have changed their strategy or disappeared altogether. Daimler AG, for example, reoriented its business away from unrelated diversification and more toward related diversification. The firm had operations in passenger cars and trucks, commercial vehicles, financial services and information technology, aerospace, rail, diesel engines, and auto electronics. But Daimler consolidated some of its nonautomotive activities, sold others, and put more emphasis on its automobile operations.²⁴ However, conglomerates are often an important component of the economies of emerging markets, as this chapter's closing case, "The House of Tata" discusses.

Business Strategy

Whereas corporate strategy deals with the overall organization, business strategy focuses on specific businesses, subsidiaries, or operating units within the firm. Business strategy seeks to answer the question: "How should we compete in each market we have chosen to enter?"

Firms that pursue corporate strategies of related diversification or unrelated diversification tend to bundle sets of businesses together into **strategic business units (SBUs)**. In firms that follow the related diversification strategy, the products and services of each SBU are somewhat similar to each other. For example, Disney defines its SBUs as Parks and Resorts, Studio Entertainment (Touchstone, Buena Vista, and Pixar studios), Consumer Products (Disney publishing, character licensing, Disney Stores), and Media Networks (ABC, the Disney Channel, ESPN). In firms that follow unrelated diversification strategies, products and services of each SBU are dissimilar. General Electric, for example, has created eight SBUs, centered on its aviation, healthcare, renewable energy, transportation, oil and gas, lighting, finance, and power generation products.

By focusing on the competitive environment of each business or SBU, business strategy helps the firm improve its distinctive competence for that business or unit. Once a firm selects a business strategy for an SBU, it typically uses that strategy in all geographical markets the SBU serves. The firm may develop a unique business strategy for each of its SBUs, or it may pursue the same business strategy for all of them. The three basic forms of business strategy are differentiation, overall cost leadership, and focus.²⁵

DIFFERENTIATION Differentiation strategy is a commonly used business strategy. It attempts to establish and maintain the image (either real or perceived) that the SBU's products or services are fundamentally unique from other products or services in the same market segment. Many international businesses today are attempting to use quality as a differentiating factor. If successful at establishing a high-quality image, they can charge higher prices for their products or services. For example, Rolex sells its timepieces worldwide for premium prices. The firm limits its sales agreements to only a few dealers in any given area, stresses quality and status in its advertising, and seldom discounts its products. Other international firms that use the differentiation strategy effectively include Coca-Cola (nonalcoholic bottled beverages), Nikon (cameras), Louis Vuitton (leather goods), and Prada (fashion accessories).

Other firms adopt value as their differentiating factor. They compete by charging reasonable prices for quality goods and services. Marks and Spencer has used the value factor to thrive in the department store market in the United Kingdom and on the European Continent, while Target and Kohl's have adopted a similar approach in the North American market.

OVERALL COST LEADERSHIP The overall cost leadership strategy calls for a firm to focus on achieving highly efficient operating procedures so that its costs are lower than its competitors'. This allows it to sell its goods or services for lower prices. A successful overall cost leadership strategy may result in lower levels of unit profitability due to lower prices but higher total profitability because of increased sales volume. For example, France's Bic Pen Company has dominated the global ballpoint pen market since its founding in 1945. By concentrating on making those pens as cheaply as possible, the firm is able to sell them for a low price. Taken together, volume production and a worldwide distribution network have allowed Bic to flourish. Other firms that use this strategy are Timex (watches), Vizio (high-definition TVs), Hyundai (automobiles), Aldi (grocery stores), and SK Hynix (DRAM memory chips).

Under the leadership of Ratan Tata, India's Tata group became one of the world's largest conglomerates. The Tata group, with \$100 billion of revenues in 2017, is composed of over 100 affiliated companies in such diverse areas as steel making, automobiles, tea, and information technology. Tata Consultancy Services is India's largest employer and a powerhouse in the business process outsourcing industry.



CTK/Alamy Stock Photo

FOCUS A focus strategy calls for a firm to target specific types of products for certain customer groups or regions, such as a retailer specializing in maternity clothes or “big and tall” clients. Doing this allows the firm to match the features of specific products to the needs of specific consumer groups. These groups might be characterized by geographical region, ethnicity, purchasing power, tastes in fashion, or any other factor that influences their purchasing patterns. For example, Patagonia produces high-quality, high-priced outdoor gear coupled with a strong commitment to environmental protection and social justice. Denmark’s Bang and Olufsen focuses on producing elegantly designed high-end audio products, thereby meeting the needs of customers with demanding standards in both form and function.

Functional Strategies

Functional strategies attempt to answer the question: “How will we manage the functions of finance, marketing, operations, human resources, and R&D in ways consistent with our international corporate and business strategies?” We briefly introduce each common functional strategy here but leave more detailed discussion to later chapters.

International *financial* strategy deals with such issues as the firm’s desired capital structure, investment policies, foreign-exchange holdings, risk-reduction techniques, debt policies, and working-capital management. Typically, an international business develops a financial strategy for the overall firm as well as for each SBU. We cover international financial strategy more fully

in Chapter 18. International *marketing* strategy concerns the distribution and selling of the firm's products or services. It addresses questions of product mix, advertising, promotion, pricing, and distribution. International marketing strategy is the subject of Chapter 16.

International *operations* strategy deals with the creation of the firm's products or services. It guides decisions on such issues as sourcing, plant location, plant layout and design, technology, and inventory management. We return to international operations management in Chapter 17. International *human resource* strategy focuses on the people who work for an organization. It guides decisions regarding how the firm will recruit, train, and evaluate employees and what it will pay them, as well as how it will deal with labor relations. International human resource strategy is the subject of Chapter 19. Finally, a firm's international R&D strategy is concerned with the magnitude and direction of the firm's investment in creating new products and developing new technologies.

The next steps in formulating international strategy determine which foreign markets to enter and which to avoid. The firm's managers must then decide how to enter the chosen markets. These two issues are the subject of Chapters 12 and 13.

In Practice

- Firms strive to develop successful strategies at three organizational levels: corporate, business, and functional.
- The three basic forms of business strategy are differentiation, cost leadership, and focus.

For further consideration: Are there successful businesses operating in your community that have adopted a differentiation strategy? A cost leadership strategy? A focus strategy?

★ WATCH IT!

Go to www.pearson.com/mylab/management to complete the video exercise.

CHAPTER REVIEW

Summary

International strategic management is a comprehensive and ongoing management planning process aimed at formulating and implementing strategies that enable a firm to compete effectively in different markets. Although there are many similarities in developing domestic and international strategies, international firms have three additional sources of competitive advantages unavailable to domestic firms. These are global efficiencies, multinational flexibility, and worldwide learning.

Firms participating in international business usually adopt one of four strategic alternatives: the home replication strategy, the multidomestic strategy, the global strategy, or the transnational strategy. Each of these strategies has advantages and disadvantages in terms of its ability to help firms be responsive to local circumstances and to achieve the benefits of global efficiencies.

A well-conceived strategy has four essential components. Distinctive competence is what the firm does exceptionally well. Scope of operations is the array of markets in which the firm plans to operate. Resource deployment specifies how the firm will distribute its resources across different areas. And synergy is the degree to which different operations within the firm can benefit one another.

International strategy formulation is the process of creating a firm's international strategies. The process of carrying out these strategies via specific tactics is called *international strategy implementation*. In international strategy formulation, a firm follows three general steps. First, a firm develops a mission statement that specifies its values, purpose, and directions. Next it thoroughly analyzes its strengths and weaknesses, as well as the opportunities and threats that exist in its environment. Finally, it sets strategic goals, outlines tactical goals and plans, and develops a control framework.

Most firms develop strategy at three levels. Corporate strategy answers the question: "What businesses will we operate?" Basic corporate strategies are single-business, related diversification, and unrelated diversification. Business strategy answers the question: "How should we compete in each market we have chosen to enter?" Fundamental business strategies are differentiation, overall cost leadership, and focus. Functional strategy deals with how the firm intends to manage the functions of finance, marketing, operations, human resources, and R&D.